

SERIES A PREFERRED STOCK PURCHASE AGREEMENT

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Date: January 1, 2025

COMPANY: BlockChain Innovations Inc., a Delaware corporation

INVESTOR: Venture Capital Fund VII, LP, a Delaware limited partnership

1. INVESTMENT TERMS

Series A Preferred Stock Authorized: 5,000,000 shares

Purchase Price Per Share: USD 8.00

Total Investment Amount: USD 10,000,000

Number of Shares: 1,250,000 shares

2. INVESTOR RIGHTS

Board Seat: One designated board observer seat

Information Rights: Quarterly unaudited and annual audited financial statements

Pro-Rata Rights: Right to maintain ownership percentage in future financings

Drag-Along Rights: Must participate in company sale if approved by majority holders

3. VALUATION AND DILUTION

Pre-Money Valuation: USD 30,000,000

Post-Money Valuation: USD 40,000,000

Investor Ownership: 25% post-investment

Anti-Dilution: Weighted average anti-dilution protection in down rounds

4. LIQUIDATION PREFERENCES

Non-Cumulative Dividend: 8% annual return

Participating Preferred: Investors participate pro-rata in remaining proceeds

Preference Multiple: 1x non-participating in liquidation events

5. REDEMPTION RIGHTS

Redemption: If no qualified IPO by January 1, 2030, company must redeem shares

Redemption Price: Original purchase price plus accrued but unpaid dividends

Redemption Timeline: 12 months from redemption trigger event

6. USE OF PROCEEDS

Product Development: 40% (USD 4,000,000)

Sales and Marketing: 35% (USD 3,500,000)

Operations and Administration: 15% (USD 1,500,000)

Working Capital Reserve: 10% (USD 1,000,000)

7. REPRESENTATIONS AND WARRANTIES

Company: Duly organized, good standing, authorized to issue shares

Investor: Accredited investor, investment sophistication, not restricted person

No material undisclosed liabilities or legal proceedings

Investor: _____ Date: _____

Company CEO: _____ Date: _____

Company Secretary: _____ Date: _____